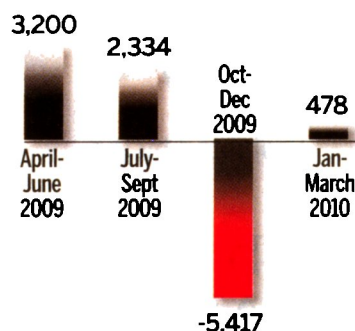


up at ULIPs and collections touched a stupendous Rs 34,199 crore only in the third quarter of 2009-10.

A comparison of inflows between insurance and MFs explains the turf war between the two regulators. The MF industry has attracted fresh inflows of Rs 6,000 crore into equity in 2009-10, while the figure is expected to be around Rs 72,000 crore, if the last quarter's figures are factored in, from new business premium alone for ULIPs during 2009-10. The total assets under management of mutual funds are stagnating at Rs 7,00,000 crore, of which retail money is not more than Rs 2,00,000 crore. Around 2005-06, when the MF industry started facing the heat from ULIPs, asset management companies (AMCs) too launched MF schemes with an insurance cover, but the Life Insurance Council banned insurers from doing so in 2008. Clearly, the MF industry has been nursing a grouse against the insurance industry. But insurance companies, on their part, chose to pluck the low-hanging fruit by focusing on ULIPs only, which account for 90 per cent of insurance business today.

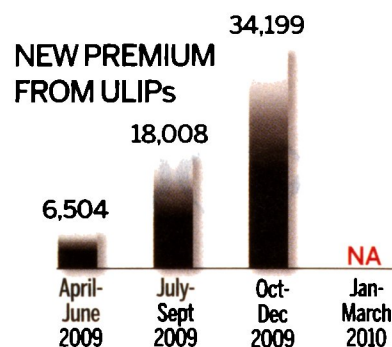
There is a historical legacy that ULIPs enjoy as the time they came into prominence with the opening up of the insurance sector in 2001, tax payers were not free to invest where they

NET Inflows EQUITY MUTUAL FUNDS



wanted. Since investing in insurance got maximum tax benefit, private insurers offered market-linked returns along with a life cover. Given that insurance penetration in India is 0.16 per cent of GDP, against a global average of 2.14 per cent, insurance companies offered hefty commissions to agents to reach out to more people. Known as charges, these are as high as 30-40 per cent in the first few years. However, what investors are rarely told is that the hefty commission is paid out of their corpus.

Despite the high costs, the consumers have placed their faith in this mode of investment. According to data from the Life Insurance Council,



All figures in Rs crores

Graphic by PUSHVINDER KAUR/www.indiatodayimages.com

the renewable premium of ULIPs has grown from Rs 8,825 crore in 2006-07 to Rs 46,396 crore in 2008-09. In financial year 2010, up to January, the renewal premium of ULIPs is close to Rs 42,000. The new business premium accounts for close to Rs 60,000 crore for the nine months ended December 2009. It's not only the money accrued, insurers are writing out four crore policies each year. LIC's new premium collection touched \$9.58 billion in the April-December 2009 period, while the combined business of the 22 private insurers has grown to \$5.07 billion from the previous year, according to IRDA.

After 10 years of its existence, the

Regulators have jointly agreed to seek a binding legal mandate from a court. Meanwhile, status quo ante is maintained."

PRANAB MUKHERJEE,
Finance Minister



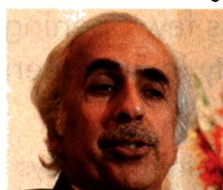
The Securities and Exchange Board of India does not have jurisdiction on ULIP products. It believes otherwise."

J. HARI NARAYAN,
Chairman, IRDA



We want both the regulators (SEBI and IRDA) to go to court as soon as possible."

ASHOK CHAWLA,
Finance Secretary



ULIP Assets

ICICI Pru Life	Rs 28,613 crore
Bajaj Allianz	Rs 14,065 crore
Birla Sun Life	Rs 7,841 crore
HDFC Standard Life	Rs 7,184 crore
SBI Life	Rs 6,444 crore

capital market regulator has woken up to the fact that since ULIP is a market-linked product, it should be more stringently regulated. Most industry players admit that mis-selling is a part of the game and unavoidable. There is a belief in some quarters that the investment portion of a ULIP should be regulated by SEBI, despite ULIP being a hybrid instrument. Lok Sabha MP Sanjay Nirupam says: